

2-4b Errors Not Affecting the Trial Balance

An error may occur that does not cause the trial balance totals to be unequal. Such an error may be discovered when preparing the trial balance or may be indicated by an unusual account balance. For example, a credit balance in the supplies account indicates an error has occurred. This is because a business cannot have “negative” supplies. When such errors are discovered, they should be corrected. If the error has already been journalized and posted to the ledger, a

correcting journal entry (An entry that is prepared to correct an error to an entry that has already been journalized and posted.)

is normally prepared.

To illustrate, assume that on May 5 a \$12,500 purchase of office equipment for cash was incorrectly journalized and posted as a debit to Supplies and a credit to Cash for \$12,500, as follows:

May 5	Supplies	14	12,500	
	Cash	11		12,500

The error was discovered on May 31. Before making a correcting journal entry, the journal entry that was made in error is compared to the entry that should have been made. By comparing these two journal entries, the correcting journal entry can be determined, as shown in [Exhibit 8](#).

Exhibit 8

Correcting Journal Entry

[Exhibit 8](#) indicates that the correcting journal entry debits Office Equipment and credits Supplies for \$12,500. Because correcting journal entries are unusual, an explanation is often inserted below the correcting journal entry. After the correcting journal entry is posted,

the office equipment and supplies accounts will have correct balances.

Check up Corner 2-3

Trial Balance

The accounts of Simmons Urgent Care Inc. as of December 31, 20Y7, are listed in alphabetical order as follows. All accounts have normal balances.

21	Accounts Payable	\$ 7,200	18	Office Equipment	\$ 62,500
12	Accounts Receivable	22,000	53	Rent Expense	12,000
11	Cash	21,000	32	Retained Earnings	36,300
31	Common Stock	30,000	14	Supplies	7,800
33	Dividends	15,000	52	Supplies Expense	22,000
41	Fees Earned	250,000	54	Utilities Expense	4,000
59	Miscellaneous Expense	2,200	51	Wages Expense	155,000

Prepare an unadjusted trial balance, listing the accounts in their normal order.

Analysis for Decision Making

Horizontal Analysis

A single item in a financial statement, such as net income, is often useful in interpreting the financial performance of a company. However, a comparison with prior periods often makes the financial information even more

useful. For example, comparing net income of the current period with the net income of the prior period will indicate whether the company's operating performance has improved.

Objective 5 - Describe and illustrate the use of horizontal analysis in evaluating a company's performance and financial condition.

In

horizontal analysis (Financial analysis that compares an item in a current statement with the same item in prior statements in terms of the amount and percentage of change.)

, the amount of each item on a current financial statement is compared with the same item on an earlier statement. The increase or decrease in the *amount* of the item is computed together with the *percent* of increase or decrease. When two statements are being compared, the earlier statement is used as the base for computing the amount and the percent of change.

To illustrate, the horizontal analysis of two income statements for J. Holmes, Attorney-at-Law follows:

The horizontal analysis for J. Holmes, Attorney-at-Law, indicates both favorable and unfavorable changes. The increase in fees earned of 25.0% is favorable as is the decrease in supplies expense. Unfavorable changes include the increase in wages expense, rent expense, utilities expense, and miscellaneous expense. These expenses increased the same as or faster than the increase in revenues, with total operating expenses increasing by 30.6%. Overall, net income increased by \$15,800, or 19.9%, a favorable change.

The significance of the various increases and decreases in the revenue and expense items should be investigated to see if operations could be further improved. For example, the increase in utilities expense of 38.9% was the result of renting additional office space for use by a part-time law student in performing paralegal services. This explains the increase in rent expense of 25.0% and the increase in wages expense of 33.3%. The increase in revenues of 25.0% reflects the fees generated by the new paralegal.

The preceding example illustrates how horizontal analysis can be useful in interpreting and analyzing the income statement. Horizontal analyses can also be performed for the balance sheet, the statement of stockholders' equity, and the statement of cash flows.

Make a Decision

Horizontal Analysis

Analyze Amazon.com (MAD 2-1) (Continuing company analysis)

Analyze Chipotle Mexican Grill (MAD 2-2)

Analyze Vera Bradley, Inc. (MAD 2-3)

Analyze Target (MAD 2-4)

Analyze Walmart (MAD 2-5)

Compare Target and Walmart (MAD 2-6)

Chapter 2: Analyzing Transactions: 2-4b Errors Not Affecting the Trial Balance

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